

Digital Transformation Roadmap

Saudi Telecom Sector

Strategy & Operations | ME-SO-2023-0147 | Kingdom of Saudi Arabia | October 2023

Executive Summary

This report presents EY Middle East's strategic assessment and transformation roadmap for a leading Saudi telecommunications provider. The engagement was commissioned to evaluate readiness for 5G monetisation, cloud-native architecture migration, and digital customer experience modernisation aligned with Saudi Vision 2030 objectives.

Our analysis identified three critical capability gaps: (1) legacy BSS/OSS infrastructure constraining agile product launches, (2) fragmented data architecture limiting real-time analytics, and (3) workforce digital fluency deficits. The recommended roadmap spans 36 months with a total investment envelope of SAR 2.3 billion.

Engagement Methodology

- Current-state diagnostic: 120+ stakeholder interviews, process mining across 6 core domains
- Benchmarking against 12 global telecom operators across 47 KPIs
- Technology assessment: architecture review of 34 legacy platforms
- Financial modelling: NPV and scenario analysis across three investment cases
- Change readiness: organisational culture survey across 4,200 employees

Key Findings

The client's ARPU has declined 14% over three years against a regional peer average decline of 8%. Root-cause analysis points to product commoditisation and inability to launch differentiated digital services at pace. The existing IT stack, averaging 11.3 years in age, requires 73% of capex to sustain rather than innovate.

Customer experience benchmarking placed the client at the 28th percentile among GCC telecom operators on Net Promoter Score (NPS: +12 vs regional leader at +47). Journey mapping of the postpaid activation flow identified 23 friction points, of which 17 are attributable to manual backend processes.

Transformation Roadmap: Four Horizons			
Horizon	Period	Key Initiatives	Investment (SAR M)
H1 - Stabilise	Q1-Q3 2024	Decommission 8 end-of-life systems; migrate billing to cloud-native; de	380
H2 - Digital	Q4 24-Q2 25	AI self-service app; omnichannel CRM; automate 60% L1 support	520
H3 - 5G	Q3 25-Q2 26	5G enterprise slicing; IoT platform for smart city programmes	780
H4 - Intelligent	Q3-Q4 2026	AIOps; real-time revenue assurance; data monetisation BU	620

Risk Summary		
Risk	Rating	Mitigation
Programme execution	High	Dedicated Transformation Management Office with EY advisory support
Vendor dependency	Medium	Dual-vendor strategy for critical platforms; contractual SLA enforcement
Talent gap	High	Reskilling 1,200 technical staff; hire 180 digital specialists
Regulatory compliance	Low	CITC engagement plan; data localisation compliance in architecture

- Recommended Next Steps
- Secure Board approval for Horizon 1 investment by December 2023
 - Establish TMO and appoint C-suite transformation sponsor
 - Issue RFP for cloud-native BSS platform - shortlist 3 vendors by February 2024
 - Launch employee digital fluency assessment programme Q1 2024